Returned Goods Recovery and Disposition Framework

ShopSphere Retail - all categories

Guideline ID	RFB-GEN-2025-01
Version	2.3
Effective date	2025-04-01
Owner	Reverse Logistics & Refurbishment
Applies to	electronics, fashion, home_appliances, accessories

1. Purpose

This framework decides what happens to a returned unit after inspection. It uses the recovery methods recorded in the recovery options and recovery tasks systems.

2. Recovery methods

Method	Entry criteria	Action
resell_new	Unopened or seal intact, passes inspection	Return to sellable stock at full price
open_box_resale	Opened, complete, no defect, cosmetic grade A/B	List as open-box at 10-25% discount
repair_and_resell	Single repairable fault, repair cost below 35% of resale value	Bench repair, burn-in, regrade
refurbish_and_resell	Multiple minor faults or cosmetic wear; full refurbishment needed	Full refurbishment, new packaging, 6-month ShopSphere warranty
supplier_return	Verified manufacturing defect covered by supplier agreement	Return-to-vendor against batch code
recycle	Not economically repairable, or unsafe	Authorised e-waste / textile recycler with certificate
dispose	Unsafe, contaminated, or recycling not possible	Hazardous-waste disposal with certificate of destruction

3. Decision order

- Step 1, safety gate: if the inspection condition is unsafe, the only permitted methods are recycle or dispose. No other method may be selected or approved.
- Step 2, identity gate: if the returned serial does not match the purchased serial, or the SKU does not match, the unit stays in hold until the investigation case is resolved.
- Step 3, evidence gate: if there is no inspection record, or inspections conflict, no recovery task is created until the evidence is complete.
- Step 4, value: choose the method with the highest expected net recovery (expected revenue minus repair, handling and other costs) among feasible methods.

4. Expected net recovery

Expected net recovery = expected revenue - repair cost - handling cost - other cost. Methods whose net recovery is negative are marked not_feasible unless required for safety or compliance.

5. Approvals

- repair_and_resell and refurbish_and_resell for units above INR 50,000 need supervisor approval.
- supplier_return needs a supplier defect report reference.

- dispose needs warehouse manager sign-off and a certificate of destruction.